



Bank counteractions

When a country's central bank expects the currency's value to drop, it tries to shrink the money supply.



Bank

INCREASING INTEREST RATES

Increasing interest rates attracts investors to buy the country's currency as they will be rewarded with high rates of interest

SELLING FOREIGN RESERVES

Selling foreign reserves and retaining domestic currency increases demand for the domestic currency.

Strong currency

These factors signal a booming economy, and boost demand for the country's currency as well as increasing its value.

HIGH INTEREST RATES

Higher rates attract foreign investors and increase the value of the currency.



STABLE INFLATION

Stable or falling inflation can help to boost the value of the local currency.



RISE IN GDP

High production rates demonstrate demand for a country's products, and thus its currency.



LOW UNEMPLOYMENT

Employment is linked to GDP, indicating that a country's products are in demand.



HIGH CONFIDENCE

Confidence in a nation's economy can be enough to keep its currency buoyant.



\$5.3
trillion
the typical
value of foreign
exchange trades
made each day

THE IMPORTANCE OF RESERVE CURRENCY

Reserve currency is a recognized safe foreign currency held by a country's central bank and financial institutions and used to make trade payments. Using the reserve currency avoids the need to change payments into local currency, minimizing the exchange-rate risk for both countries. Many central banks set a reserve ratio—the percentage of domestic currency that the bank must hold. The US dollar is the currency most commonly held in reserves worldwide.

